

1.

CASE #	CASE NAME	HEARING NAME
CVME2600230	GREENBERG VS TESLA, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Motion to Compel Arbitration is Granted. Case is stayed pending arbitration. All future dates vacated.

Request for Judicial Notice – Defendant Tesla, Inc. requests judicial notice of the Complaint in this case filed on January 6, 2026, which is granted pursuant to Evid. Code § 452(d).

Motion to Compel Arbitration - Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; *see also Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.) There is a strong public policy in favor of arbitration agreements.” (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 741.) Given the policy favoring arbitration, “doubts concerning the scope of arbitrable issues are to be resolved in favor of arbitration.” (*Ericksen, Arbuthnot, McCarthy, Kearney & Walsh, Inc. v. 100 Oak Street* (1983) 35 Cal.3d 312, 323; *see also Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 9.)

Existence of an Arbitration Agreement - Both the Federal Arbitration Act (FAA) and the California Arbitration Act (CAA) require the existence of a valid arbitration agreement between the parties, before arbitration can be compelled. (See 9 U.S.C. §2 and CCP §1281.2) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; *see also Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.) The moving party bears the burden of proving the existence of a valid arbitration agreement, which can be met by attaching a copy of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) The burden then shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Condee, supra*, 88 Cal. App. 4th at 218-19.)

In this case, Defendant Tesla, Inc. produced a copy of the Motor Vehicle Order Agreement (MVOA) for the Subject Vehicle, which contains the Arbitration Agreement. The Arbitration Agreement states in pertinent part, “(Y)ou agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association(AAA) under its Consumer Arbitration Rules. This includes claims arising before this agreement such as claims

related to statements about our products. You further agree that any disputes related to the arbitrability of your claims will be decided by the court rather than an arbitrator."

(Decl. of Raymond Kim, Ex. 1, p. 3.) Defendant has established the existence of an arbitration agreement signed by the Plaintiff covering claims asserted in the Complaint.

Prior to taking delivery of the vehicle, Plaintiff also signed the Retail Installment Sales Contract(RISC) which also contains an arbitration provision. The motion is unopposed therefore the Plaintiff does not dispute the signature or the existence of an agreement to arbitrate.

Unconscionability - Once the existence of an arbitration agreement is established, "the party opposing arbitration bears the burden of proving by a preponderance of the evidence any defense, such as unconscionability. (*Cook v. University of Southern California* (2024) 102 Cal. App. 5th 312, 320.) The doctrine of unconscionability has a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal. 4th 1109, 1133.) "[A] sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable." (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91). The party opposing the agreement must prove that it is both procedurally and substantively unconscionable. (*Crippen v. Central Valley RV Outlet* (2004) 124 Cal. App. 4th 1159, 1165.)

Procedural unconscionability involves two factors: oppression and surprise. (*Carlson v. Home Team Pest Defense, Inc.* (2015) 239 Cal. App. 4th 619, 631.) "Oppression occurs 'where a contract involves lack of negotiation and meaningful choice' and surprise involves the extent to which 'the allegedly unconscionable provision is hidden within a prolix printed form.'" (*Haydon v. Elegance at Dublin* (2023) 97 Cal. App. 5th 1280, 1287.) "An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.'" (*OTO, L.L.C. v. Kho* (2019) 8 Cal. 5th 111, 126.) The adhesive nature of an arbitration agreement is sufficient to establish some degree of procedural unconscionability." (*Sanchez v. Valencia Holding Co, LLC* (2015) 61 Cal.4th 899, 906; *Samaniego v. Empire Today LLC* (2012) 205 Cal.App.4th 1138, 1145.)

The MVOA contains an opt-out provision that was not done by the Plaintiff. (Decl. of Raymond Kim) The RISC does not contain an opt out provision and any procedural unconscionability would be minimal. However, the MVOA does not contain any Procedural Unconscionability because of the opt out provisions and neither the RISC or the MVOA appear to contain surprise.

The Plaintiff must also show substantive unconscionability. An arbitration agreement is substantively unconscionable if it is "manifestly unfair or one-sided." (*Sanchez, supra*, 61 Cal.4th at 915.) In assessing substantive unconscionability, the "paramount consideration" is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.)

Accordingly although unopposed, the MVOA and RISC do not appear to this Court to be one-sided or otherwise substantively unconscionable.

2.

CASE #	CASE NAME	HEARING NAME
CVME2603408	BADA VS MERCEDES-BENZ USA LLC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Motion to Compel Arbitration is Granted. Case is stayed pending Arbitration. All future dates vacated.

Request for Judicial Notice - Plaintiff requests judicial notice of the Complaint in this case, which is granted pursuant to Evid. Code § 452(d).

Motion to Compel Arbitration - Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.) There is a strong public policy in favor of arbitration agreements.” (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 741.) Given the policy favoring arbitration, “doubts concerning the scope of arbitrable issues are to be resolved in favor of arbitration.” (*Eriksen, Arbuthnot, McCarthy, Kearney & Walsh, Inc. v. 100 Oak Street* (1983) 35 Cal.3d 312, 323; see also *Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 9.)

Existence of an Arbitration Agreement - Both the Federal Arbitration Act (FAA) and the California Arbitration Act (CAA) require the existence of a valid arbitration agreement between the parties, before arbitration can be compelled. (See 9 U.S.C. §2 and CCP §1281.2) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.) The moving party bears the burden of proving the existence of a valid arbitration agreement, which can be met by attaching a copy of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) The burden then shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Condee, supra*, 88 Cal. App. 4th at 218-19.)

In this case, Defendant produced a copy of the California Motor Vehicle Lease Agreement (“Lease Agreement”) for the Subject Vehicle, which contains a section titled Important Arbitration Disclosures (“Arbitration Agreement”). The Arbitration Agreement states:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of